



STANDARD OPERATING MANUAL

Member Credit Administration & Settlement

Sahyadri Farmers Producer Company Limited

SOP_SFPCCL_LOANDISBURSEMENT | Version 1.0 | August 2025

769
Shareholders

8,500+
Members

45,000
Acres

8 Major
Crops

About SFPCL

769

Individual
Shareholders

48

Farmer
Producer Cos

30,000+

Farmers
Connected

45,000

Acres of
Farmland

8 Major Crops in Value Chain

 Grapes

 Tomatoes

 Citrus

 Mangoes

 Bananas

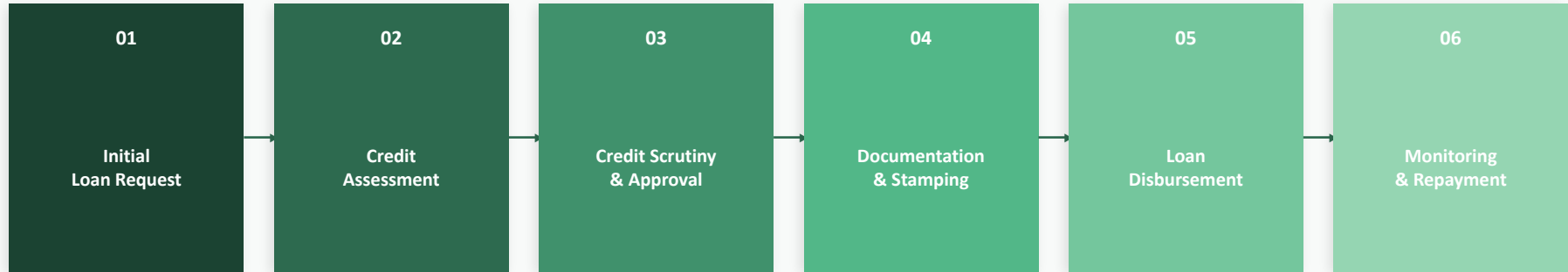
 Sweetcorn

 Cashews

 Pomegranates

Legal Basis: Section 378ZK, Companies Act 2013 — permits secured loans/advances to members (3 months to 7 years)

End-to-End Lending Process — 6 Stages



Turnaround Time (TAT)



Key Teams: Credit Assessment | Compliance | Treasury | Sanction Committee

Stage 1 & 2 — Loan Request & Credit Assessment

STAGE 1 — Initial Loan Request

- 1 Borrower (Farmer / FPC) submits Loan Application Form
- 2 Signed by applicant AND nominee
- 3 Submitted via offline or digital channel
- 4 Deputy Manager – Finance verifies completeness
- 5 Unique reference number issued (LO000000001...)
- 6 Loan Request Register updated

STAGE 2 — Credit Assessment

- 1 Loan Appraisal Note prepared (Deputy Manager – Finance)
- 2 TAT: 2 days from application receipt
- 3 Eligibility: Active member, no existing default
- 4 Land documents, KYC, bank statement & crop plan required
- 5 Loan purpose: Crop production & agriculture only
- 6 If ineligible → Rejection Note communicated

KYC Documents Required: PAN Card | Aadhaar Card | Share Certificates | 7/12 Extract | Crop Plan | Bank Statements (6 months)

Loan Limit Determination

Method 1 — Shareholding-Based Limit

$$\text{Loan Limit} = \text{No. of Shares} \times 30\% \text{ of Valuation per Share}$$

Share valuation: Net Asset Value Method (Fair Market Valuation)

Determined from latest audited financials post-AGM

Current result: ₹200 per share (10% of valuation)

Board approval required to change the percentage

Method 2 — Agricultural Land-Based Limit

$$\text{Loan Limit} = \text{Per-Acre Cost of Cultivation} \times \text{Land Area}$$

Scale of Finance fixed annually by the Company
Based on prevailing agricultural cost norms

Current cap: ₹20,000 per acre

Updated each financial year

FINAL ELIGIBLE LOAN AMOUNT = Lower of the Two Limits above

Approval Matrix

Loan Amount	Authority	Notes
Up to ₹5,00,000	CFO + 1 Director	Maker-Checker mechanism
Above ₹5,00,000 / Exceeds limit	CFO + 2 Directors	Joint approval in Credit Sanction Register

Stage 3 & 4 — Approval & Documentation

STAGE 3 — Credit Scrutiny & Approval

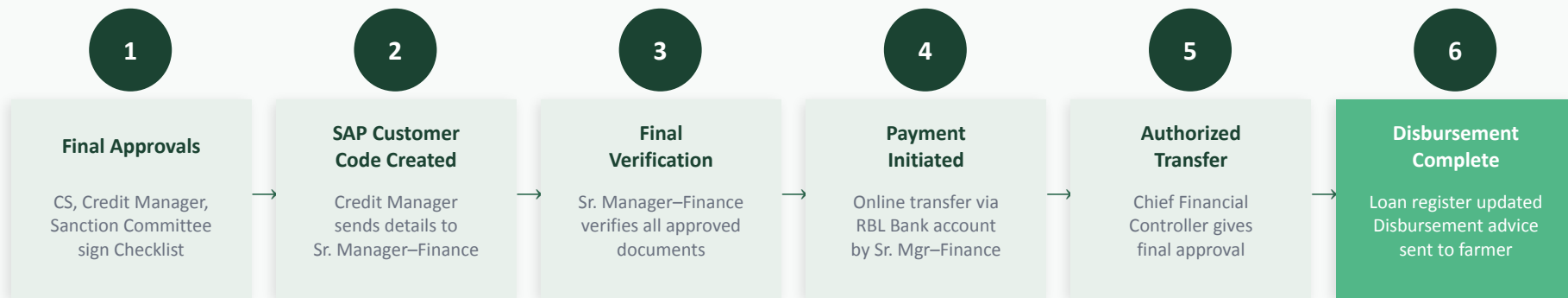
- ✓ Eligibility Verification
- ✓ Loan Amount Assessment
- ✓ Purpose of Loan check
- ✓ Compliance Checks (Companies Act)
- ✓ Past Borrowing History review
- ✓ Risk Assessment
- ✓ Documentation Completeness

⚠ Special Case: If a Director / relative is borrower → approval needed from Members in General Meeting (Sec. 378ZK)

STAGE 4 — Documentation & Stamping

- 📄 Power of Attorney (PoA) — ₹500 stamp, notarised
- 📄 Tri-Party Agreement (SFPCL + Borrower + Subsidiary)
- 📄 Share Transfer Form SH-4 (physical shares)
- 📄 CDSL Pledge (D-MAT shares)
- 📄 Term Sheet — signed by applicant & nominee
- 📄 Loan Agreement — ₹500 stamp, notarised
- 📄 Bank Verification Letter (if signature mismatch)
- 📄 Checklist (index of all documents)

Stage 5 — Loan Disbursement



Signatures on Checklist — What They Signify

Company Secretary: All documents verified & attached

Sanction Committee: Final approval as per authority matrix

Credit Manager: Loan limits reviewed & confirmed

Sr. Manager – Finance: Loan disbursed to applicant's account

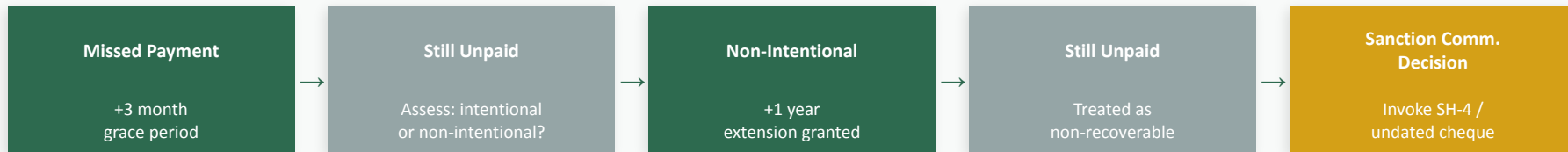
Stage 6 — Monitoring & Repayment

Repayment Channels

Direct by Farmer
• RTGS / NEFT transfer • Partial repayments: Principal first • SAP entry next working day

Via Subsidiary Company
• Subsidiary deducts from produce payment • Transfers to SFPCL • Tri-party agreement governs this

Default Handling Process



Monitoring & Closure

- DPD Buckets: 1-2 yrs | 2-3 yrs | 3+ yrs — reported to CFO quarterly
- Yearly interest invoices | Monthly SAP accrual entries
- Full repayment → NOC issued + SH-4 & blank cheque returned | Records archived 8 years

Statutory Compliance Framework

Compliance Area	Legal Basis	Frequency	Owner
Producer Co. Lending	s.378ZJ Companies Act	Ongoing	CS & Credit Mgr
Loan Limits (s.186)	60% or 100% of Free Reserves	Quarterly	CFO
NBFC Principal Test	RBI NBFC Framework	Quarterly	CFO
KYC / AML	PMLA 2002 + RBI KYC 2023	Bi-annual	Credit Head
Stamp Duty	Maharashtra Stamp Act 1958	At execution	CS
Money-lending Laws	Maharashtra ML Reg. Act	Annual	CS
Accounting & Reporting	Ind AS + Companies Act	Monthly/Qtrly	Accounts Head
Data Protection	IT Act & Best Practices	Quarterly	IT Head & CS
Record Retention	Companies Act — 8 years	Annual audit	CS & Auditor

Top 10 Errors to Avoid

1

Processing loans for non-members or exceeding the per share cap

2

Missing PAN/Aadhaar or CKYC consent in KYC files

3

Incomplete appraisal notes (no income evidence or risk rating)

4

Missing witness signatures on loan agreements or SH-4 forms

5

Disbursing funds before stamping is completed

6

Entering incorrect bank account details in SAP

7

Failing to send year-end interest invoice to farmers

8

Not re-KYCing members every two years

9

Using SH-4 or undated cheques without board approval

10

Delays in issuing NOC upon full loan closure

Critical

High

Medium

Seeding Goodness — Sahyadri Farms

Agri Credit Delivery & Administration

**Built on Trust,
Transparency & Compliance**